

Sample Whole Life Insurance Policy

Policy Overview

Policy Number: LIFE-2025-009012
Policy Holder / Insured: [Insured Name]
Policy Type: Whole Life with Savings Component
Policy Period: Lifetime (coverage until age 99)
Issue Date: June 1, 2025
Insurer: Sample Insurance Company S.A. de C.V.
Death Benefit: MXN \$5,000,000
Primary Beneficiary: [Name] - 70%
Secondary Beneficiary: [Name] - 30%

Coverage A - Death Benefit

Upon the death of the insured from any cause (subject to exclusions below), the insurer will pay the death benefit of MXN \$5,000,000 to the named beneficiary(ies).

Payment is made within 20 business days of receiving complete claim documentation.
The death benefit is exempt from income tax under Mexican fiscal law.
No deductible applies to the death benefit.

Coverage B - Accidental Death Benefit (Double Indemnity)

If death results from an accident (external, sudden, violent, and involuntary cause), an additional accidental death benefit of MXN \$5,000,000 is paid, for a total death benefit of MXN \$10,000,000.

Conditions:

- Death must occur within 180 days of the accident.
- Accident must be the direct and sole cause of death.
- Police or coroner report required confirming accidental cause.

Coverage C - Total and Permanent Disability (TPD)

If the insured becomes totally and permanently disabled before age 65, the insurer will:

1. Waive all future premium payments.
2. Pay MXN \$2,500,000 (50% of death benefit) as a lump-sum disability benefit.

Definition of TPD: inability to perform any occupation for which the insured is qualified by education, training, or experience, for at least 24 consecutive months.

Two independent medical examinations required to confirm TPD.

Coverage D - Critical Illness Accelerated Benefit

Upon first diagnosis of a covered critical illness, the insured may accelerate up to 50% of the death benefit (MXN \$2,500,000).

Covered critical illnesses: cancer (stages III-IV), heart attack, stroke, kidney failure requiring dialysis, organ transplant, blindness, paralysis.

Waiting period: 90 days from policy issue date.

The amount accelerated is deducted from the death benefit payable at death.

Savings and Cash Value

This policy accumulates a savings reserve (cash value) over time.

Guaranteed interest rate: 3.5% per annum on the savings component.

After year 3: insured may request a policy loan of up to 90% of cash value.

After year 5: insured may surrender the policy for its full cash value.

Surrender values (guaranteed minimums):

Year 5: MXN \$120,000

Year 10: MXN \$380,000

Year 20: MXN \$1,100,000

Year 30: MXN \$2,300,000

Exclusions

The death benefit will NOT be paid if death results from:

1. Suicide within the first 2 years of policy issue (return of premiums paid only).
2. War, armed conflict, or participation in military operations.
3. Intentional self-inflicted injury (other than suicide after year 2).
4. Commission of a felony by the insured.
5. Drug or alcohol intoxication.
6. Extreme sports or aviation as pilot (unless specifically endorsed).

Double indemnity exclusions (accidental death):

- Death caused by illness or disease (even if accident contributed).
- Death occurring more than 180 days after the accident.

Claims Procedure

To file a death benefit claim:

1. Notify the insurer within 30 days of the insured's death.
2. Submit: completed beneficiary claim form, original death certificate (notarized), government-issued ID of all beneficiaries, policy document.
3. For accidental death: add police report, coroner/autopsy report.
4. For TPD: two independent medical reports + insurer's medical examination.
5. For critical illness acceleration: specialist diagnosis report + pathology results.

Payment timeline: 20 business days from receipt of complete documentation.

The insurer may request additional medical records up to 60 days post-claim.

Premium Structure

Monthly premium: MXN \$8,400 (fixed for life of policy)

Breakdown: MXN \$5,200 risk coverage + MXN \$3,200 savings component

Grace period: 31 days after premium due date.

Policy lapse: premiums unpaid after grace period. Reinstatable within 2 years with evidence of insurability and payment of overdue premiums plus interest.

Premium waiver: automatically triggered by TPD (Coverage C).